The full gains from a reform require a great deal of advance planning and preparation by myriad private persons. This developmental work takes place if there is ample advance warning. The same reform will deliver better results if the overall economy has been primed for the idea adequately.

Losers from a reform require fair warning

Every reform hurts certain firms and certain persons. With more advance warning, they can plan their life better. This would reduce the costs for the economy as a whole.

As an example, consider the simplest reform: trade liberalization. Certain Indian factories, in areas where India does not have a comparative advantage, have to close down when the trade liberalization is done. We as a country have two choices: to present them with a surprise big-bang trade liberalization, or to talk about it every step of the way and give ample warning. By giving ample warning, for many years, firms will cut back on investments in physical capital and organizational capital into the businesses that are not going to survive trade liberalization. This reduces the destruction of capital that always accompanies trade liberalization.

The policy process is one of negotiation

There is a valuable political economy perspective upon this question, where we see all reforms as a process of negotiation. Healthy democracies are those where various interest groups are able to sit together, engage in discourse in good faith, and emerge with reasonable compromises. The essential foundation for the democratic process of negotiation is trust—a certain presumption of good faith.

We as a society need to experience decades upon decades of decent behaviour with each other, in order to learn how to trust each other to